7.2 Definition

- **R.G.Williams**, "Depreciation may be defined as a gradual deterioration in value due to use".
- **Spicer and Pegle**r, "Depreciation may be defined as the measure of exhaustion of the effective life of an asset from any cause during a given period".
- **The Institute of Chartered Accountants of India** defines it as, "depreciation is a measure of wearing out, consumption or other loss of value of a depreciable asset arising from use, effluxion of time or obsolescence through technology and market changes".

7.3 Causes For Depreciation

The causes of depreciation can be classified as – (1) Internal causes, and (2) External causes.

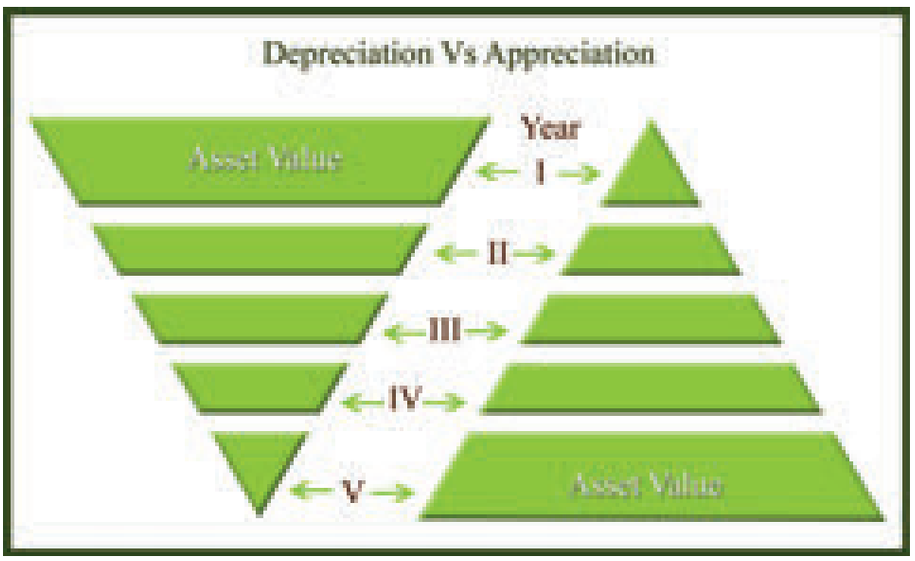
CAUSES FOR DEPRECIATION

INTERNAL CAUSES

1. Wear and Tear
2. Exhaustion
3. Depletion
4. Deterioration

EXTERNAL CAUSES

1. Effluxion of Time
2. Obsolescence
3. Weather and Natural Calamities
4. Permanent fall in market value of asset



Chapter_07.indd 99 18-12-2019 12:18:44